In the books of Salem Recreation Club

Dr. Receipts and Payments Account for the year ended 31st March, 2019 Cr.

Receipts	₹	₹	Payments	₹
To Balance b/d:			By Furniture	15,000
Cash in hand		9,000	By Stationery	2,400
To Subscriptions			By Investment	12,500
2018 – 2019	12,500		By Postage	1,000
2019 – 2020	400	12,900	By Balance c/d:	
To Proceeds from entertainment		12,000	Cash in hand	3,500
To Sundry receipts		500		
		34,400		34,400

Additional information:

(i) There are 450 members each paying annual subscription of ₹ 30.

(ii) Stock of stationery on 31st March, 2018 ₹ 300 and on March 31, 2019 ₹ 500.

(iii) Capital fund as on 1st April 2018 was ₹ 9,300.

Prepare income and expenditure account for the year ended 31st March, 2019 and the balance sheet as on that date.

Solution

Calculation of subscription to be received for the year 2018-19:

	₹
Subscription for the current year (450 × ₹ 30)	13,500
Subscription received for the current year	12,500
Subscription outstanding for the current year (₹13,500 – ₹12,500)	1,000

In the books of Salem Recreation Club

Dr. Income and Expenditure Account for the year ended 31st March, 2019 Cr.

Expenditure	₹	₹	Income	₹	₹
To Stationery	2,400		By Subscription	12,500	
Add: Opening stock	300		Add: Outstanding for		
	2,700		2018-19	1,000	
Less: Closing stock	500	2,200	(450 × ₹ 30)		13,500
To Postage		1,000	By Proceeds from		
To Excess of income			entertainment		12,000
over expenditure (surplus)		**22,800**	By Sundry receipts		500
		26,000			26,000

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